Character AI at the Chapter 11 Decision

An entrepreneur case study of operating economics talent dependence and the proposed Disney transaction

Independent teaching case. Not affiliated with or endorsed by Harvard Business School. Decision date: October 12–13, 2026. All dollar figures are US dollars unless stated otherwise.

Contents

The decision

Executive findings

How to read the evidence

1 From research company to entertainment platform

2 The operating organization behind the interface

3 The technology portfolio and what it does not prove

4 Improving economics without reaching sustainability

5 Safety regulation and financing as a connected problem

6 What the proposed Disney transaction actually buys

7 The decision facing the restructuring committee

8 Lessons for founders before distress

9 Questions for discussion

10 Evidence limits and open diligence

Original source links

The decision

On October 12, 2026, Character Technologies, Inc., the company behind Character.AI, entered Chapter 11 in Delaware. Its initial filings described an unusual combination: approximately 12 million monthly active users, approximately two hours of daily use on average among active users, rapidly improving revenue, no funded debt, and approximately $57 million of unrestricted cash, cash equivalents, and investments. Yet management believed continued operation could become untenable. The company was losing money, struggling to obtain new investment, and at risk of losing the specialized employees needed to keep its platform stable and safe. Dkt. 18 ¶¶4, 7–11, 18

The board had already approved an arrangement with Disney Worldwide Services, Inc. that changed the organization before the court-supervised sale process began. Disney had offered employment to much of Character's workforce and paid $7.5 million upfront toward a proposed $20 million transaction, including a $2 million refundable deposit. A transition services agreement would return access to selected employees for a limited period. The proposed transaction primarily concerned a non-exclusive technology license and related rights; it was not an announced purchase of the entire Character.AI consumer platform. Dkt. 18 ¶¶14, 61–64; Dkt. 17 ¶¶15–20

For the independent restructuring committee and newly installed restructuring leadership, the immediate question was how to use the remaining time. Could another purchaser preserve the platform as an operating business? Could additional technology transactions produce more value? How much should Character spend to keep the service available while testing those possibilities? What evidence would justify extending the process, and what circumstances should trigger a controlled wind-down?

These were interdependent decisions. A longer sale process might attract a better offer, but it would consume cash and require continued access to technical and safety personnel. Disney's arrangement reduced personnel costs and provided a bridge, while placing many of the people who understood the system inside the proposed counterparty. Management intended to pursue a sale process and then an expeditious liquidation plan; it explicitly said the platform would be wound down if no suitable proposal enabled continued operations. That was a contingent plan, not an established outcome. Dkt. 18 ¶¶48–50, 59–64

The case asks students to decide what a responsible entrepreneur, board, or prospective buyer should do with a valuable product whose user engagement, technical capabilities, operating organization, and liability exposure no longer fit comfortably inside the same company.

Executive findings

1. **Growth was real in the company's account, but insufficient.** Monthly revenue rose from approximately $2.8 million in December 2025 to $5.3 million in August 2026. August operating expenses excluding legal fees were approximately $13.3 million. Revenue improvement and cost reductions narrowed the gap without closing it. Dkt. 18 ¶¶11, 26–28
2. **The scarce resource was not cash alone.** Management described a risk of employee departures that could make the platform unstable and unsafe. Its financial runway and its ability to sustain a qualified operating team were separate constraints. Dkt. 18 ¶¶10, 59
3. **Character had changed its technical strategy.** It moved inference to lower-cost GPU capacity and shifted toward post-training open-weight models instead of developing proprietary foundation models. This lowered expenditure while leaving substantial recurring infrastructure and staffing needs. Dkt. 18 ¶¶20, 26–27

4. **Safety was part of production.** The disclosed operating model included age inference, safety classification, long-term harm detection, moderation, and daily workforce oversight. The filings describe these activities, but do not demonstrate their accuracy or effectiveness. Dkt. 18 ¶¶22–24; Dkt. 10 ¶¶11–12

5. **Disney's proposal separated capabilities from the consumer business.** The package combined employee hiring, temporary services, a proposed license, cash, and releases. The $20 million figure should not be read as a valuation of the entire platform, much less compared directly with the $2.7 billion aggregate consideration described for the structurally different 2024 Google transaction. Dkt. 15 ¶24, transaction summary; Dkt. 18 ¶¶19, 62–64

6. **The most important causal explanation remains a hypothesis supported by management evidence.** High costs and unresolved legal exposure constrained financing; deteriorating prospects then undermined retention; retention risk narrowed strategic choices. This is more informative than attributing the filing to a single lawsuit, a single model decision, or a lack of consumer demand. It still requires testing against missing budgets, financing materials, and operating data. Dkt. 17 ¶¶12–18; Dkt. 18 ¶¶9–14, 25–28, 59

How to read the evidence

The factual record for this case is the supplied Markdown transcription of the first 30 docket entries, filed October 12–13, 2026, in In re Character Technologies, Inc., No. 26-11603. The inventory metadata lists 765 source-PDF pages across those entries. The user's description of approximately 900 pages was an estimate; the metadata total does not establish that pages are missing. It is not a count of independently inspected PDF pages. The source PDFs were not independently authenticated or visually checked for this report. The provided transcriptions omit original page boundaries, so citations use docket numbers, numbered paragraphs, agreement sections, and exhibit headings rather than invented page references.

The CEO's first-day declaration and the investment banker's declaration are especially informative, but they were submitted to support requested court relief. Statements about the superiority of a transaction, necessary payment treatment, or the adequacy of a sale timeline are the proponents' positions. Proposed orders attached to motions are not entered orders. The supplied record does not establish approval or closing of the Disney transaction, approval of the bidding procedures, a final regulatory resolution, or a confirmed liquidation plan.

The report distinguishes three kinds of statements. **Disclosed** means stated in the supplied filing, not independently audited. **Derived** means transparent arithmetic using disclosed inputs. **Interpretation** means an analytical inference or recommendation. Where information is absent, the case says so. Allegations remain allegations unless the filing expressly describes an adjudicated or settled outcome; a settlement is not treated as a finding of wrongdoing. Sealed docket entry 27 contains a placeholder, not reviewable substantive creditor information.

The company's October 12 public announcement was also consulted for its public framing. The substantive analysis and contractual detail below rely on the supplied filings.

The original-PDF links in the citations are the links supplied in each file's metadata. They support traceability without implying that the links were independently validated. A source guide appears at the end, and an accompanying evidence register provides a compact audit trail.

1 From research company to entertainment platform

Character was founded in 2021 by AI researchers who had left Google, and launched its public platform in 2022. The declaration connects the founders' background to transformer neural-network research. The initial consumer proposition was interaction with AI characters; by the filing date, management described a multimodal entertainment product incorporating conversation, images, video, and audio. Dkt. 18 ¶¶6, 16

This distinction matters strategically. A consumer character platform is more than a general-purpose language model. Its value proposition depends on whether users find particular characters engaging, whether conversations remain responsive and coherent, whether people return, and whether the service can sustain acceptable boundaries. Even if a base model becomes cheaper or more widely available, the company still needs an application, distribution, product design, reliable serving infrastructure, monetization, and ongoing oversight. These are analytical requirements of the disclosed business, not a verified organization chart.

In mid-2024, Google proposed a strategic transaction. According to the declaration, the resulting package involved approximately $2.7 billion in total consideration, the founders returning to Google, a non-exclusive license to Character's technology at that time, and releases of certain claims. The filing does not provide a cash-distribution waterfall showing how much of that consideration remained available to the operating company. A reader therefore cannot use $2.7 billion as the opening balance in a reconstruction of subsequent corporate cash burn. Dkt. 18 ¶19

The company continued to develop technology after that transaction. Management attributed several developments to the remaining researchers: proprietary technology to animate a static image; an autoregressive diffusion model for real-time audio-driven, FaceTime-style video with fictional characters; and a supervised fine-tuning framework for large-scale language models using open-source models. It also described newly introduced chat styles. These are claims about capability and product development, not independently reproduced benchmark results. Dkt. 18 ¶¶20–21

Meanwhile, Character was changing the business model. Subscriptions had generated approximately $0.6 million per month in January 2024. In-app advertising began in mid-2025, reaching approximately $0.5 million in its first full month that July. A revised advertising revenue-share and incentive arrangement followed in March 2026, and in-app purchases were introduced in early 2026. By August 2026, monthly subscription and advertising revenue were approximately $2.8 million and $2.5 million respectively. Dkt. 18 ¶28

Management was also making safety-related product changes. A separate model for under-18 users, introduced in November 2024, included additional controls. The filing describes content filtering, time-spent notifications, and parental insights. Beginning in October 2025, Character phased in restrictions designed eventually to eliminate open-ended chatting for under-18 users. The case does not establish the exact completion date, enforcement coverage, or impact on retention. Dkt. 18 ¶¶23–24

By the filing date, Character was therefore neither an unchanged foundation-model laboratory nor a simple software subscription business. It was a consumer entertainment service with significant inference expenses, a growing advertising component, multiple technical capabilities, and an expanding safety and regulatory burden. The entrepreneurial question was whether these elements could become a sustainable whole before the organization lost the ability to operate it.

Exhibit 1 Selected chronology

Period	Event disclosed in the record	Why it matters to the decision
2021–2022	Company founded; platform launched publicly	Establishes a young operating history
Mid-2024	Google strategic transaction; founders rehired; non-exclusive technology license and releases	Major change in talent and technology relationships; consideration is not a disclosed corporate cash balance
November 2024	Separate under-18 model with added controls	Safety design becomes an explicit product architecture choice
Mid-2025	In-app advertising introduced	Revenue model broadens beyond subscriptions

Period	Event disclosed in the record	Why it matters to the decision
August 2025	Prior banker engaged to pursue strategic and financing alternatives	Financing and exit efforts predate the petition by more than a year
October–November 2025	Under-18 chat restrictions begin; multistate investigation notified in November	Product redesign and regulatory negotiations overlap
January 2026	Settlement of then-filed personal injury claims	Resolves a defined group of cases, not all future exposure
March 2026	Advertising arrangement amended	Monetization changes continue during distress
August 2026	$5.3m monthly revenue; $13.3m operating expenses excluding legal fees; approximately $8.2m net monthly cash burn	Improved performance remains substantially negative
September 18, 2026	Disney exclusivity/prepayment agreement and initial TSA signed	Organizational restructuring begins before the petition
October 1 and 8, 2026	Additional independent director appointed October 1; Restructuring Committee established October 8	Governance shifts toward the sale and Chapter 11 process
October 12–13, 2026	Petition and initial motions/declarations filed	Case decision point; proposed relief and transactions remain subject to process

Sources: Dkt. 18 ¶¶4, 12–14, 16, 19–24, 27–32, 61 and n.7; Dkt. 17 ¶¶12–18; Dkt. 1, board resolutions. Dates describe the supplied record only.

2 The operating organization behind the interface

A product that requires people after deployment

The first-day papers describe a business that could not simply keep serving users from a static model file. Management said the workforce performed daily safety oversight and that loss of the relevant knowledge could make continued operation difficult or impossible. Independent contractors supplied product engineering, safety moderation, data science, security engineering, and general business support. Temporary workers supported finance, accounting, legal, technology, and administration through approximately six staffing agencies. Dkt. 10 ¶¶11–12

The entrepreneurial insight is that software deployment does not eliminate an operating organization. At Character, specialized people appeared to connect model behavior, infrastructure, product changes, and safety response. The filings do not disclose the actual reporting lines, on-call rotations, incident escalation thresholds, or division of responsibilities. It would therefore be misleading to draw a precise org chart with a known head of every function. A capability map is more defensible: what work had to happen, which resources supported it, and where loss of knowledge could interrupt it.

A useful reconstruction has five layers. First, product and model work created and maintained the character experience. Second, infrastructure delivered responses and multimodal outputs. Third, safety and security work observed behavior and managed risks. Fourth, commercial and financial systems collected revenue and paid suppliers. Fifth, governance and legal functions negotiated claims, supervised restructuring, and authorized major choices. These layers are an analytical grouping of the disclosed activities, not named departments in the record.

The workforce transition

The wages motion gives three time-sensitive views of the workforce. Approximately 86 full-time employees were employed as of September 30. Sixty-six had accepted Disney employment offers; 56 had formally resigned and ten were still completing immigration-related employer-transfer processes. At the petition date the debtor reported 18 active full-time employees, of whom eight were expected to remain through key portions of the case. Dkt. 10 ¶¶9–10

Those figures do not produce a complete headcount bridge. Subtracting 56 from 86 yields 30, not 18. Subtracting all 66 accepted offers yields 20, not eight. Dates and definitions differ, and the filing does not reconcile all other departures or changes. A careful reader can say that a large majority of the earlier workforce accepted Disney offers and that the debtor expected a small retained team. It cannot assign the unexplained difference to layoffs or another specific cause without further evidence.

Nor does a count of 18 mean only 18 people could support the platform. Transferred employees could provide services through Disney under the TSA, while contractors and temporary workers remained separate categories. Conversely, access through a services contract is not equivalent to owning a permanent team with the same incentives, availability, and management control. The relevant diligence question is coverage of critical functions rather than headcount alone. Dkt. 17 ¶17; Dkt. 10 ¶¶9–12

The commercial plumbing

The cash-management motion provides unusually practical insight into how the service turned user activity into cash. Stripe receipts for online subscriptions flowed to a receipts account. App-provider payments, including Google and Apple app-store channels, advertising-partner payments, and certain insurance reimbursements flowed to the main operating account. That account funded payroll, vendors, and other disbursements. Investments were transferred into operating cash as needed, and daily sweeps managed excess balances. Dkt. 9 ¶¶11–15

These channels are not merely accounting detail. Each introduces settlement timing, processing rules, possible concentration, and reconciliation requirements. Revenue recognized in a month is not identical to cash available that day. Insurance reimbursements for legal settlements are not evidence of recurring customer demand. A board evaluating liquidity needs a receipts-and-disbursements view alongside the income statement.

The company also used corporate cards for recurring payments to critical vendors. Historical card spending was approximately $1 million a month, primarily for vendor payments; the petition-date balance was only approximately $10,000. These are different measures, and neither should be added to operating expenses without checking for double counting. A vendor paid by card may already sit within compute or another expense category. Dkt. 9 ¶¶16–17

Suppliers as part of the organization

The critical-vendors motion describes a limited group supplying computing hardware and infrastructure, cloud storage, monitoring, safety services, and other operational needs. Character argued that replacing some providers would be difficult or impossible in the required time and sought discretion to pay up to $1.5 million in prepetition claims on an interim basis, within an overall $2.5 million cap. It proposed using payment to preserve favorable trade terms or obtain claim discounts. These were requested authorities, not verified payments or a complete supplier-spending budget. Dkt. 6 ¶¶4–5, 10–17

A founder reading this motion should see a map of operational dependency. The company’s effective boundary extended beyond its payroll. If a cloud, storage, moderation, or payment relationship failed, replacing it might

require engineering work, data migration, renewed testing, or changed commercial terms. The filing does not quantify those switching costs, but management's argument makes their existence central to its request.

Even ordinary facilities could be unwound separately from the service. Character sought rejection of a New York office lease after vacating and surrendering the premises, and sought to abandon low-value physical property. Intangible property was explicitly excluded from the described remaining property. This was an effort to reduce administrative costs, not evidence that the application's technology was abandoned with office furniture. Dkt. 11 ¶¶4, 8–12

3 The technology portfolio and what it does not prove

Exhibit 2 Capability map

Capability	Disclosed evidence	Reasonable business interpretation	Important unknowns
Character conversation	LLM-based character platform; updated chat styles	Product differentiation includes behavior, responsiveness, and experience design	Base-model names, sizes, context limits, quality metrics, and cost by chat mode
Model adaptation	Supervised fine-tuning framework using open-source models; post-training open-weight models	More effort moves from building a foundation model to adapting and deploying available models	Training data, licenses, evaluation design, reproducibility, and dependencies
Inference delivery	Shift to lower-cost GPU capacity	Infrastructure optimization is a major economic lever	Token volumes, utilization, caching, latency, reliability, and cost per successful response
Image animation and video	Static-image animation; autoregressive diffusion for audio-driven real-time video	Capabilities may have applications beyond the consumer chat platform	Benchmarks, production scale, rights clearance, unit costs, and buyer integration effort
Age and harm detection	Conversational age inference, classifiers, long-term harm detection	Safety involves persistent operating systems and monitoring, not only a release-time filter	Error rates, coverage, escalation design, audit results, and measured outcomes
Human oversight	Safety moderators and daily workforce oversight	People remain a critical complement to automated controls	Staffing by shift, incident workload, specialist concentration, and replacement time

Sources: Dkt. 18 ¶¶6, 20–24, 27; Dkt. 10 ¶¶11–12. The interpretation and unknown columns are analysis, not additional disclosures.

The shift in model strategy

A foundation model is trained broadly before adaptation to a specific application. Post-training changes or specializes an existing model. Supervised fine-tuning typically trains on examples of desired behavior. Open-weight models make model parameters available under particular terms; that availability does not by itself establish unrestricted commercial rights or disclose the training data. The declaration uses both "open-source" and "open-weight" language. The case preserves that distinction rather than assuming every underlying model carried the same rights. Dkt. 18 ¶¶20, 27

Character's disclosed move can be understood as a decision about where to compete. Building proprietary foundation models requires research and training expenditure. Adapting external models can allow a company to focus resources on its application, post-training, serving, and safety systems. Yet inference remains a repeated

cost whenever users interact with the product. A cheaper path to model development does not automatically produce attractive service-level margins.

The record does not isolate the savings from this model-strategy change versus lower-cost GPU capacity, staffing reductions, or facility consolidation. The filings describe several interventions but do not quantify each contribution; changes in usage or utilization are not disclosed. It would overstate the evidence to claim that open-weight adoption alone produced the reported 39% decline in operating expenses. Dkt. 18 ¶¶26–27

Technical novelty and transferable value

The reported video capabilities illustrate why a distressed company might still possess valuable intellectual property. A buyer could value a component for its own entertainment products even if the seller's complete consumer platform remained unprofitable. The proposed licensing structure is consistent with that possibility, but the filings do not disclose Disney's internal product plans or standalone valuations for individual capabilities. No specific future Disney application should be presented as fact.

An important distinction is between access to technology and ability to operate it. Source code, model weights, documentation, training recipes, deployment knowledge, and the judgment of experienced engineers are different assets. The proposed package's emphasis on both employees and technology suggests that the parties did not treat a license alone as the whole transaction. That is an interpretation of the structure, not proof of how Disney valued each component. Dkt. 17 ¶¶15–20; Dkt. 18 ¶¶62–64

For an entrepreneur, the diligence lesson is practical: maintain a record of what can be transferred, what depends on third-party rights, and what remains tacit knowledge. A valuable demo is not equivalent to a self-contained production capability. The case materials do not permit a technical audit of code quality, training-data provenance, reproducibility, security, or real-world safety performance.

Safety technology is not safety assurance

Management described substantial investment in systems that infer age from conversations, classify risk, and detect patterns of possible long-term harm. It also described product restrictions and human oversight. These disclosures establish management's account of what the company built and operated. They do not answer whether the systems reliably identified particular risks or prevented harm. Dkt. 18 ¶¶22–24

A serious buyer would need different evidence for different claims. A classifier's offline accuracy does not alone establish the safety of a full interactive product. Aggregate engagement does not establish healthy use. An age-related policy does not establish enforcement coverage. A moderation process does not establish adequate response times. These distinctions are methodological, not findings of failure. The record lacks the measurements needed to resolve them.

The economic implication is that safety spending cannot be evaluated only as a removable overhead item. Some controls may be necessary to keep operating responsibly, preserve access to distribution and financing, and reduce future exposure. At the same time, the case does not justify assigning a precise dollar return to any particular control. The right entrepreneurial question is which risks the system creates, what mitigations demonstrably reduce them, and how the resulting costs change the business model.

A closer look at the production machinery

The proposed license's Schedule A is more revealing than a generic description of an AI chatbot. It inventories post-training code, training recipes, reward-model frameworks, benchmarks, and systematic evaluation tools. It separately identifies inference GPU and cluster management, model routing, deployment, and site-reliability

workflows. Character context and prompt management appear through a lorebook stack, prompt optimization, and chat-style frameworks. Dkt. 15, Stalking Horse Transaction Agreement, Schedule A, “Licensed Technology”

Several safety components are unusually specific: proprietary vLLM serving with optimized classifier heads, fallback classification, reinforcement-learning safety adapters, a Guardian system for long-horizon conversational monitoring, age-prediction architecture, safety-prevalence measurement, moderation, and adversarial testing. The schedule also lists application-security tools and access-control configurations for endpoints, APIs, and administrative interfaces. These are asset categories identified for licensing. Their inclusion does not establish that every component was deployed everywhere, mature, effective, or independently validated. Dkt. 15, Stalking Horse Transaction Agreement, Schedule A

The operational relationships are nevertheless instructive. Routing decides where requests go; serving determines latency and resource use; contextual systems help preserve character consistency; evaluation measures intended behavior; monitoring observes interactions over time; fallback mechanisms respond when primary systems fail. A product team must integrate these functions. The record does not disclose their actual topology, but it reveals why buying a consumer interface or obtaining a model alone would not reproduce the complete capability.

This also clarifies the limits of the term “AI moat.” A founder might possess defensible engineering in serving, evaluation, adaptation, or workflow integration even when the base model is externally sourced. Whether those assets produce a durable advantage depends on their performance, cost, reproducibility, rights, and the team’s ability to improve them. Schedule A supplies a diligence checklist, not an answer to the moat question.

4 Improving economics without reaching sustainability

Exhibit 3 Financial and engagement measures

Measure	Period or basis	Reported amount
Revenue	Fiscal 2024	$7.4m
Revenue	Fiscal 2025	$23.6m
Total monthly revenue	December 2025	$2.8m
Total monthly revenue	August 2026	$5.3m
Subscription revenue	August 2026	$2.8m
Advertising revenue	August 2026	$2.5m
Operating expenses excluding legal fees	H2 2024 monthly average	$21.9m
Operating expenses excluding legal fees	FY2025 monthly average	$18.5m
Operating expenses excluding legal fees	August 2026	$13.3m
Compute costs	H2 2024 monthly average	$13.8m
Compute costs	FY2025 monthly average	$10.0m
Compute costs	January–August 2026 aggregate	$56.1m

Measure	Period or basis	Reported amount
Personnel costs	January–August 2026 aggregate	$19.7m
Net cash burn	H2 2024 monthly average	$21.5m
Net cash burn	FY2025 monthly average	$17.6m
Net cash burn	August 2026	$8.2m
Operating loss	As of August 2026, per month	$8–9m
Unrestricted cash, equivalents, and investments	Petition date, declaration rounded figure	$57m
Monthly active users	Declaration snapshot; measurement month unspecified	12m
Average daily time among active users	Declaration snapshot; methodology unspecified	120 minutes

Sources: Dkt. 18 ¶¶7, 9, 11, 18, 26–28. Amounts are approximate debtor disclosures. The cost-share denominator in ¶9 is operating expenses for the first eight months of 2026; it is not explicitly defined there as the same legal-fee-excluding measure used in ¶¶26–27. The engagement population is not a daily-active-user or subscriber count.

What the arithmetic supports

The improvement was substantial. Using rounded disclosed amounts, fiscal 2025 revenue was approximately 3.19 times fiscal 2024 revenue, or about 219% higher. Monthly revenue increased approximately 89% between December 2025 and August 2026. August operating expenses excluding legal fees were approximately 39% below the second-half 2024 monthly average and 28% below the fiscal 2025 monthly average. Net monthly cash burn was approximately 62% below the second-half 2024 average. These are derived endpoint comparisons, not evidence of a smooth monthly trend. Calculations from Dkt. 18 ¶¶11, 26–28

The gap remained large. Subtracting August revenue of $5.3 million from August expenses excluding legal fees of $13.3 million produces an $8.0 million arithmetic shortfall. This is not a reconstructed audited operating loss. The separately reported $8–9 million operating loss and $8.2 million net cash burn have different definitions and may reflect timing or other adjustments. The case does not force them into exact equality.

The January–August compute total averages approximately $7.01 million per month, but that is not an August compute figure. Nor should the $19.7 million personnel total for those eight months be divided by the petition-date headcount to infer compensation. The workforce changed substantially, and the definitions of personnel costs and full compensation are not supplied. Careless denominator choices can create a persuasive-looking model that describes no actual period in the company’s history.

August’s rounded subscription and advertising amounts imply an approximately 53%/47% split. This makes advertising commercially important, but it does not disclose its margin. The record does not provide ad impressions, fill rates, prices, revenue shares, subscription conversion, churn, payment-channel fees, or contribution margins. In-app purchases are mentioned without a separate amount. The rounded totals should not be used to conclude that this newer stream generated exactly zero revenue. Dkt. 18 ¶28

Engagement is an input to economics

The disclosed usage was striking, but it cannot establish profitability. A long session creates opportunities for subscription value and advertising, while also consuming compute and potentially safety resources. Whether an additional session creates or destroys contribution depends on the associated revenue and incremental cost. The filings do not disclose the required matched cohort data.

One tempting calculation would multiply 12 million monthly active users by 120 minutes and the number of days in a month. That would wrongly treat monthly active users as if each were active every day under a consistent measurement definition. Another would divide monthly revenue by the same count and call it paid-user revenue. The actual number of paying customers is not supplied. Neither calculation belongs in a decision-quality unit-economics model.

A board should instead request a cohort-level contribution view: revenue by channel, serving cost by modality and session, safety and support workload, retention, and the share of expense that changes with usage. It should separately identify fixed research and administrative costs. These are proposed management measurements, not a claim that Character lacked or used any particular internal dashboard.

Why cash did not settle the decision

The cash-management motion provides a more precise reconciliation than the rounded CEO figure: approximately $57.414 million unrestricted, plus the $2 million refundable Disney deposit, for approximately $59.414 million total. The account balances sum to that total. A repeated description in the declaration's Exhibit A labels $59.414 million "unrestricted" while its footnote includes the deposit; this is an internal inconsistency. For analytical purposes, the clearer separation in the cash-management motion is used here, without claiming independent bank verification. Dkt. 9 ¶¶10–11 and n.3; Dkt. 18, Exhibit A ¶36 and n.6

Dividing approximately $57 million by August's $8.2 million burn would yield roughly seven months as a static arithmetic illustration. It would not be a reliable operating runway. The Disney workforce transition changed payroll, the TSA changed service access, professional fees and approved creditor payments could change cash needs, and a responsible process required resources for safe transition or shutdown. The refundable deposit was not ordinary freely usable cash, and the $7.5 million upfront payment had already occurred before the petition; it should not be added again to petition liquidity.

Management's own favorable projection was conditional. It expected positive cash at the end of the first quarter of 2027 under scenario assumptions that included its proposed sale timing and a case not burdened by contentious litigation. The filings do not provide the complete model needed to validate that projection. Dkt. 18 ¶50

Finally, "no funded debt" means neither "no liabilities" nor "no creditor problem." The declaration identifies potential claims from litigants, regulators, trade vendors, and service providers. The petition's top-creditor list includes trade and professional-service claims alongside unliquidated litigation claims. The list is not a complete balance sheet, and the converted petition's checkbox formatting is not reliable enough to infer selected asset or liability brackets. Dkt. 18 ¶18; Dkt. 1, list of creditors with the 20 largest unsecured claims

5 Safety regulation and financing as a connected problem

Several kinds of exposure

The declaration describes personal-injury litigation beginning in 2024. In January 2026, the company settled claims in the then-filed cases. A new complaint filed in August 2026 remained outstanding at the petition date. The earlier settlement therefore did not eliminate future claims, and neither the allegations nor the settlement

establish the truth of every asserted causal theory. No individual claimant's identity is necessary to understand the business issue. Dkt. 18 ¶¶29–30

Regulatory exposure also extended beyond personal injury. The declaration describes a Multistate Group of 46 states and territories, with a seven-state executive committee negotiating a possible consent order. Other states pursued separate matters. Topics included consumer protection, privacy, age assurance, and representations by chatbot personas about professional qualifications or confidentiality. A hoped-for negotiated resolution was not an agreed or entered settlement at this snapshot. Dkt. 18 ¶¶31–38

The federal account is similarly specific. A 2025 FTC civil investigation was paused without further action, while a separate information-reporting order followed. Character said its last production under that order was in July 2026 and that it had received no further communication. "Paused" and "no further communication" should not be rewritten as a comprehensive exoneration. The declaration also reports foreign investigations and certain prior sanctions, including an Italian order with corrective measures and a €79,000 fine that Character said it paid. Those reported outcomes differ in status from pending allegations. Dkt. 18 ¶¶39–47

The financing channel

The company had begun seeking strategic and financial alternatives in August 2025. Its prior banker approached approximately 28 potential parties. According to both declarations, prospective parties admired the product and user engagement but considered the litigation and regulatory exposure too substantial; the process produced only one proposal, deemed unworkable. This is evidence of reported market feedback. It is not a quantitative demonstration that legal exposure, rather than losses, valuation expectations, transaction conditions, or some combination, explained every failed discussion. Dkt. 18 ¶12; Dkt. 17 ¶¶12–13

The causal hypothesis for teaching is nevertheless strong enough to test. Product risks can generate legal costs and uncertain obligations. Those uncertainties can reduce the attractiveness of financing an already loss-making service. A weaker financing outlook can reduce employees' confidence in cash compensation and equity upside. Departures can then threaten the very safety and reliability capabilities needed to preserve the product's value. Management explicitly described the latter retention concern. Dkt. 18 ¶¶9–12, 59

That feedback loop changes the meaning of runway. A company may retain enough cash to pay bills for several months while lacking a credible offer to keep a critical team intact for those months. A transaction that moves employees to a stronger employer can interrupt that problem, but also changes the seller's capacity to rebuild. The Disney arrangement should be evaluated against that tension, rather than treated as either an obvious rescue or an obvious destruction of value.

Governance under conflicting incentives

The earlier CEO was among the employees Disney hired. An independent Initial Transaction Committee evaluated the competing proposals and recommended the initial arrangements; a Restructuring Committee subsequently took responsibility for the sale and case. The debtor asserted that Disney did not control Character and that former insiders did not meaningfully participate in substantial bankruptcy or sale decisions. These are governance representations in the filing, not independent findings that every conflict was eliminated. Dkt. 18 ¶¶13–14, 62 and nn.7, 10

The banker disclosed that it had not participated in negotiating the September exclusivity and transition agreements because of its engagement timing. That limits what its later endorsement can establish about the earlier negotiation process. Students should ask what alternatives were documented, what advice the committee received, how employee and estate interests were separated, and how releases were valued. The record supports these questions without supporting an accusation of misconduct. Dkt. 17 ¶16 and n.4

Bankruptcy is a process for addressing risk

The filing did not automatically extinguish claims or stop all regulatory activity. The motion concerning worldwide stay protections expressly sought recognition of existing protections, while its proposed order preserved statutory exceptions and government police and regulatory powers. The case thus involved continued negotiation and legal process, not a guaranteed liability reset. Dkt. 7 ¶¶9–11; proposed order ¶¶5–6, 10–11

Insurance likewise was not a complete answer. The insurance motion described approximately 20 policies and reported that premiums were paid, while the cash-management motion disclosed some settlement reimbursements. Neither establishes that all pending claims were covered, that adequate limits remained, or that an insurer had denied coverage. Premium amounts measure the cost of coverage, not the amount of protection or expected recoveries. Dkt. 4 ¶¶8–13 and Exhibit C; Dkt. 9 ¶12

6 What the proposed Disney transaction actually buys

A package of rights cash and people

The proposed stalking-horse agreement would grant a perpetual, worldwide, non-exclusive, fully paid-up technology and patent license at closing, subject to specific transfer and sublicensing restrictions. Character would retain ownership of the underlying intellectual property and could continue developing or licensing it. Disney would generally own its separately created modifications and outputs under the agreement's terms. The package also included purchase of certain unreleased claims against employees accepting Disney employment, and broad releases and covenants not to sue, with contractual and legal exceptions. Dkt. 15, Stalking Horse Transaction Agreement §§3.1–3.4, 4.1–4.2, 5.2, 12

The exclusions are central. The license excludes third-party licensed technology, brands, domains and social accounts, consumer-facing applications, end-user data and conversations, unprocessed data, training data, and finished models, including user-selectable conversational models and chat styles. A broad generic definition of "Technology" elsewhere in the agreement does not override those express exclusions. Disney was not proposing in this package to buy the consumer app or its users' chats. Dkt. 15, Stalking Horse Transaction Agreement §3.2

This structure creates a useful teaching distinction among ownership, access, and operating responsibility. A non-exclusive license can create value without transferring ownership. A technology license can exclude the application and data. Employees can change employers while temporarily supporting the prior company. None of those facts alone guarantees that the original service survives.

Exhibit 4 Separate the transaction amounts

Item	Amount or term	Correct interpretation
Proposed aggregate estate cash consideration	$20m	Price for the specified transaction package, not the whole company
Nonrefundable upfront portion	$5.5m	Paid before the petition; already relevant to opening liquidity
Refundable deposit	$2m	Part of the $7.5m upfront transfer; subject to contractual return/release conditions
Remaining cash consideration	$12.5m	Payable at closing, conditional on closing

Item	Amount or term	Correct interpretation
Requested bid protections	Up to $700,000, or 3.5%	Combined breakup fee and expense reimbursement under specified triggers, subject to court approval
Preliminary employee compensation estimate	Approximately $180m over years 1–3, including retention	Compensation to employees under the term sheet, not estate proceeds or an additional purchase price
Retention pool in preliminary employment package	$30m	Included in the stated three-year estimate; do not add it again

Sources: Dkt. 15, Stalking Horse Transaction Agreement §5.1; motion ¶24 bid-protection summary; Exclusivity and Prepayment Agreement §3 and Annex A §§2, 5. Employee amounts are preliminary contractual estimates with service conditions, not verified payments or a valuation of the workforce. Later actual employee counts differ from preliminary estimates.

The distinction between corporate proceeds and employee compensation matters economically. The estate needs money to operate, pay administrative costs, and address creditor claims. Employees evaluate salary, retention payments, and future opportunities. A package can be attractive to employees while yielding much less immediate cash to the estate. That fact does not prove unfairness; it identifies different beneficiaries, conditions, and decision criteria.

The transition agreement is a constrained bridge

The amended Character TSA covered engineering, application and website maintenance, trust and safety, monetization, wind-down or transition support, and qualified-bidder diligence. There was no employee-service fee to Character, but third-party costs and applicable taxes remained payable. The agreement did not make the entire business free to operate. Dkt. 15, amended and restated Character TSA §3.1 and Schedule A

More importantly, ordinary operating support ended at the earlier of closing or five months from the September 18 effective date. Wind-down and diligence services had a five-month maximum. The latter endpoint calculates to February 18, 2027, but does not guarantee normal platform operation through that date. Each employee's support was availability-qualified, and no individual was required to devote more than 20% of working hours to the services. Disney was not obliged to hire or retain particular personnel or expand facilities for the arrangement. Dkt. 15, amended and restated Character TSA §§2.1(e), 2.1(h), Schedule A

The excluded-services schedule adds another important constraint: legal and compliance advice, tax, human resources, treasury, policy, marketing, senior management, procurement, strategy, and disaster recovery, crisis management, and business continuity were outside the listed corporate services. A board could not assume that temporary access to engineers supplied a complete operating management team or emergency-response capability. Dkt. 15, amended and restated Character TSA, Schedule B

Data boundaries were also differentiated. End-user data was excluded from the license, while Disney-employed personnel could process data as necessary to provide contracted services under Character's instructions and on its systems. The TSA's data terms preserved Character's controller responsibilities. Service access therefore should not be confused with a sale of the data or a general right to use it for unrelated model training. Dkt. 15, Stalking Horse Transaction Agreement §3.2; amended and restated Character TSA, Schedule D

The challenge facing another buyer

The proposed winning-bidder TSA offered a different bridge. Its term was limited to the lesser of 60 days after its effective date or 75 days after the auction concluded, and pricing included fully allocated personnel costs plus a

10% margin, alongside other costs. Only one winning bidder would receive that arrangement if assets went to multiple buyers. Disney could withhold up to 20% of relevant employees from the rival recruitment process; eligible employees would still have to be willing to accept offers. No guaranteed transfer of the other 80% followed. Dkt. 15, form Winning Bidder TSA, definitions of “Applicable Termination Date” and “Cost of Services,” §§2.4, 3 and Schedule A; EPA Annex A §1

A rival therefore needed to evaluate more than the bid price. It needed a plan for staff, compute contracts, third-party licenses, data rights, safety management, and the end of temporary support. A license to code does not automatically convey all permissions needed to run it. A short services period does not automatically create institutional knowledge inside a new buyer. The constraints could make a platform continuation bid harder, but the case does not establish that they improperly deterred competition.

A proposed timetable with real tradeoffs

The debtor sought an expedited process. Its proposed schedule included a November 20 bid deadline, a November 23 auction, and a November 24 sale hearing, subject to court availability. The Disney agreement had a December 17 outside closing date. The motion to shorten notice sought an October 26 bidding-procedures hearing and disclosed that the U.S. Trustee intended to object to shortening notice. The supplied record does not show the grounds or resolution of that objection. Dkt. 15, proposed bidding-procedures order, Schedule A; Stalking Horse Transaction Agreement §16.1(c); Dkt. 16 ¶¶4, 25

Management and the banker argued that prior marketing, limited prospective buyers, continued cash consumption, and contractual deadlines supported speed. The banker described a process lasting nearly six weeks. Those arguments require evaluation against the complexity of diligence, stakeholder participation, and the different asset packages a bidder might consider. A shorter process preserves cash; a longer one may improve market testing. Neither claim establishes the optimal duration without a current budget and evidence of credible bidders. Dkt. 17 ¶¶26–28

7 The decision facing the restructuring committee

The committee’s immediate task was not to choose the most optimistic story. It was to preserve a safe and executable set of choices while spending an increasingly scarce pool of resources. Four broad paths frame the teaching decision. They are analytical alternatives, not four fully negotiated offers in the record.

Exhibit 5 Strategic alternatives at filing

Alternative	Potential benefit	Main execution requirement	Evidence that could change the decision
Seek a buyer that continues the platform	Preserve the consumer business and possibly more going-concern value	Funded buyer with credible staff, infrastructure, rights, and safety-transition plan	Signed financing evidence, negotiated contracts, accountable operating team, verified transition milestones
Complete technology transaction and seek additional asset value	Monetize separable capabilities while reducing ongoing expenditure	Approved rights structure, clear exclusions, reliable delivery, claimant and closing process	Incremental bids, net proceeds after costs, feasibility of complementary licenses or asset sales
Continue independently with a narrower product and new capital	Retain upside and organizational autonomy	Committed funding, sustainable economics, staffing and regulatory path	Actual term sheet, credible contribution margins, safe product scope, replacement leadership and engineering coverage

Alternative	Potential benefit	Main execution requirement	Evidence that could change the decision
Prepare orderly wind-down if no viable continuation emerges	Preserve remaining value and avoid an uncontrolled service failure	Funded shutdown plan with technical, user, privacy, legal, and vendor responsibilities	Forecast showing continued marketing destroys value or staffing/safety gates cannot be maintained

The independent-continuation path is the most demanding counterfactual. The record shows past financing efforts had failed and much of the workforce was already moving. It does not prove a narrower product could not work, but a board could not responsibly treat hypothetical funding or immediate reassembly of the team as available resources. Any proposal to shrink the product must preserve necessary safety controls, rather than improve a spreadsheet by transferring unaddressed risks to users.

A technology transaction could preserve value even without platform continuation. Yet a non-exclusive license leaves questions about the remaining estate's licensing opportunities, ownership obligations, and the cost of delivering technical materials. A higher headline bid might be worse if it carried uncertain funding, substantial conditions, expensive transition needs, or an unrealistic completion date. Net value depends on executability and retained obligations as well as price.

For a platform-continuation bid, the most important missing document is an operating transition plan. It should name who will own each critical function on the day after closing, identify the systems and contracts required, establish permission to use the necessary data and technology, and specify how incidents will be handled. The staffing plan should be measured against actual coverage needs, not the maximum number of people available for interviews. The buyer also needs to know whether ordinary TSA support stops precisely when it most needs a handover.

A recommended decision process

The case does not contain enough information to recommend one final transaction as objectively best. A defensible process would run a bounded market test while preparing the fallback in parallel. That recommendation is an author's judgment, based on the reported losses, staffing constraints, initial transaction, and proposed deadlines; it is not a court conclusion.

First, leadership should establish a short-horizon receipts-and-disbursements forecast and reserve the resources needed for an orderly fallback. Separate unrestricted cash, contingent proceeds, refundable funds, claims payments, professional costs, and operating expenses. Stress-test a delayed closing and contested proceedings rather than relying only on the favorable scenario.

Second, it should define minimum operating conditions. Those conditions should include qualified safety and infrastructure coverage, vendor continuity, incident ownership, data access, and the ability to communicate accurately with users. The service should not be kept open solely because cash remains if responsible operation cannot be sustained. Equally, a safe, funded, credible continuation should not be rejected merely because a historical burn calculation looks unfavorable.

Third, evaluate bidders on a common decision sheet: net proceeds, financing certainty, closing conditions, transition cost, staffing feasibility, rights required, retained liabilities, and realistic service continuity. Ask what can be verified now and what remains conditional. A high offer with no executable personnel plan is different from a lower offer that can close and operate safely.

Fourth, document the value of each additional week. The question is not whether time is expensive in general, but whether a concrete diligence or financing milestone is likely to improve expected outcomes enough to justify its

cash and operating risk. An interested name is not the same as a credible bid. Conversely, a specific funded buyer resolving a final operational issue may justify more time if the safe-operating conditions remain satisfied.

Finally, separate transaction optimism from user communication. The company should not imply that Disney's proposed license guarantees the platform's future. A responsible transition plan would address service changes, data handling, vendor termination, and support needs without promising an outcome that depends on future bids and court decisions. The record provides no basis to prescribe an exact shutdown date.

8 Lessons for founders before distress

Build the unit of value you intend to finance

Character's case shows why a startup should distinguish a useful technology, a popular product, and a self-financing business. The filings support the existence of meaningful consumer engagement and ongoing technical work; they also show costs exceeding revenue. Financing plans should identify which unit is expected to become profitable, when, and under what conditions. A technology license or talent transaction may create value without validating the original consumer business model.

Track organizational runway alongside cash runway

A small number of people may hold knowledge essential to service safety, infrastructure, or model deployment. Founders should identify those dependencies, cross-train where feasible, document operating procedures, and assess whether compensation and ownership incentives remain credible. This is a lesson derived from the disclosed attrition risk, not a finding that Character failed to document its systems.

Treat safety as a recurring capability

Product design, evaluation, age assurance, moderation, long-term monitoring, security, and incident response need owners and budgets. The case's safety-related asset inventory illustrates the breadth of the work. A board should ask for evidence of effectiveness and coverage, not merely the existence of tools. It should also understand how product scope, monetization, and safety requirements interact before scaling a costly service.

Keep rights and knowledge transferable

A company should know which code it owns, which components it licenses, what data it may use, where employee and contractor assignments reside, and what a buyer would need to reproduce an operating environment. The proposed agreement's exclusions show how sharply a transaction can separate technology from data, finished models, brand, and application. Preparing for that diligence early can preserve strategic options, although the record does not establish which documentation Character did or did not maintain.

Protect routine systems that keep the product alive

Recurring vendor-card payments, payroll processing, tax remittance, cloud contracts, and treasury operations can become immediate continuity issues. Their importance is easy to miss when attention is concentrated on model capability and user growth. A critical-vendor register should capture not only spending but interruption consequences, alternate providers, switching time, and payment owners.

Recognize that an exit can change the remaining business

The 2024 and proposed 2026 transactions each involved non-exclusive technology rights and movement of important personnel, but they had different scopes, timing, counterparties, and consideration. The lesson is not a numerical “valuation collapse.” It is to evaluate what remains after any partial transaction: cash, people, obligations, intellectual-property rights, product responsibility, and the ability to finance future operations.

9 Questions for discussion

1. At filing, what is Character’s binding constraint: cash, unit economics, contingent exposure, staffing, or some interaction? Which document or metric would most change your answer?
2. What can the disclosed numbers establish about progress toward sustainability, and what can they not establish about contribution margin or cost per user?
3. Which technical capabilities in Schedule A are likely to be useful independently of the consumer app? What diligence would be necessary to support that view?
4. Does the Disney workforce and TSA arrangement preserve more optionality than it removes? Identify both benefits and constraints before deciding.
5. How should a buyer price a platform whose former technical team is available only under a limited transition agreement?
6. What would justify spending an additional week on the sale process? Set an evidence-based gate rather than a vague preference for speed or patience.
7. How should the independent committee evaluate a transaction in which executives and employees receive employment opportunities while the estate receives a different pool of consideration?
8. What changes could a founder make two years earlier to reduce the risk of a cash-rich but operationally fragile restructuring, without assuming knowledge of later events?

10 Evidence limits and open diligence

Exhibit 6 Status and assumption ledger

Statement	Status at this case date	What remains unresolved
Platform has approximately 12m monthly active users	Debtor-reported	Measurement month, methodology, cohorts, retention, and daily usage distribution
Costs and burn declined materially	Debtor-reported; arithmetic corroborates rounded comparisons	Monthly bridge, cost allocation, legal fees, and post-transfer forecast
Legal exposure discouraged financing	Management and banker account of market feedback	Direct investor evidence and relative importance of economics, price, and risk
Safety systems and technical assets exist as described	Declaration and transaction inventory	Performance, deployment coverage, code quality, audit results, and rights provenance
Disney employee hires and upfront payment occurred	Reported prepetition actions	Complete personnel bridge and bank-level reconciliation

Statement	Status at this case date	What remains unresolved
Disney license closes for $20m total estate cash consideration	Proposed transaction, with some consideration already paid	Court approval, competitive process, conditions, and closing
Platform will continue	Conditional aspiration	Executable buyer or other continuation proposal
Platform will wind down if no continuation proposal emerges	Management’s stated fallback	Final decision, timing, funding, and implementation
Multistate consent order will resolve exposure	Negotiation objective	Agreed terms, approvals, scope, and remaining separate matters
Positive cash remains at end Q1 2027	Conditional management scenario	Complete assumptions and downside forecasts

A buyer or board would need the current cash forecast; full cost and revenue detail; legal and insurance assessments; a reconciled workforce map; actual TSA resource commitments; critical vendor contracts; technical and data-rights inventories; and measured safety, reliability, and product performance. The provided record does not supply those materials comprehensively. Confidential employee schedules and the sealed creditor list cannot be reconstructed from public placeholders.

Source coverage

All 30 supplied docket entries were included in the source inventory and allocated across the research review. Substantive analysis concentrated on the petition and resolutions, the operational motions, the Disney agreements and schedules, the expedited-process motion, and the two principal declarations. Administrative entries were reviewed for procedural status and context, not treated as substantive adjudications. Long service lists and conflict-list exhibits were reviewed for their structure and relevant disclosures rather than independently investigating every listed person or institution.

- **Dkts. 1 and 18:** corporate history, finances, governance, operating narrative, and supporting first-day declarations.
- **Dkts. 3–6 and 9–11:** utilities, insurance, taxes, vendors, cash management, workforce, and facilities.
- **Dkts. 15–17 and 21:** proposed sale framework, agreements, technology schedules, transition terms, timing, banker evidence, and Disney appearance.
- **Dkts. 2, 7–8, 12–14, 19–20, and 22–30:** claims administration, stay and privacy requests, appearances, hearing notice and agenda, service, redacted matrix, sealed placeholder, and lawyer-admission orders.

Dkts. 19–20 schedule an October 14 hearing; they do not report its result. Dkts. 24–25 grant lawyer admissions, not sale approval. Dkt. 29’s matrix is not a schedule of adjudicated liabilities and does not establish each listed entity’s balance. Dkt. 27’s sealed content was unavailable. The case deliberately stops at the opening docket and does not use hindsight about the hearing, auction, transaction, or platform’s eventual fate.

The durable entrepreneurial question is therefore still open: how much of a technically capable, deeply used AI service can be preserved when its economics, risk exposure, and operating team no longer support the same independent business? The answer requires valuing the whole operating system, including people and obligations, rather than choosing whichever headline number is most striking.

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Docket 11 original PDF
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